

February 26, 2026

California Privacy Protection Agency
Attn: Legal Division
400 R Street, Suite 350
Sacramento, CA 95811

RE: Ad Trade Letter in Opposition to “Petition for Rulemaking Regarding Tiered Consent and Minimal Functional Mode for Essential Consumer Devices”

Dear California Privacy Protection Agency:

On behalf of the advertising industry, we respectfully ask the California Privacy Protection Agency (“CalPrivacy” or “Agency”) to decline the “Petition for Rulemaking Regarding Tiered Consent and Minimal Functional Mode for Essential Consumer Devices” (“Petition”).¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. However, as proposed, the Petition suggests a regulatory framework that would broach entirely novel areas in ways that would contradict the statutory approach of the California Consumer Privacy Act (“CCPA”). We submit this letter with the goal ensuring that any new rulemaking efforts respect the bounds of the regulatory authority conferred on the Agency by the CCPA.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, approximately 18.9% of California jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.9% by 2029.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We welcome the opportunity to engage with CalPrivacy further on the points we discuss in this letter.

I. The Petition proposes rulemaking that would extend well beyond the scope of rulemaking authority set forth in the California Consumer Privacy Act.

The Petition asks CalPrivacy to mandate a “Minimal/Core Functional Mode” and a tiered opt-in consent structure for general-purpose consumer devices, effectively requiring that companies provide basic device functionality even without a consumer’s acceptance of general

¹ California Petition for Rulemaking Regarding Tiered Consent and Minimal Functional Mode for Essential Consumer Devices, located [here](#) (hereinafter, “Petition”).

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

terms of use. The Petition further requests rulemaking to keep “enhanced services” and “ancillary processing” (“[a]nalytics, telemetry, and personalization for marketing/ad-profiling”) disabled by default unless a user affirmatively opts in.⁴ This proposal extends well beyond the CCPA’s consumer rights framework, which is primarily built around businesses’ obligation to provide notice and the ability for consumers to exercise specifically enumerated rights.⁵

The CCPA does not contemplate a general licensing authority to redesign device activation flows or to mandate “functional out-of-the-box” consumer device design. The Petition would sweep in issues that are arguably not germane to “consumer privacy rights” implementation or enforcement at all, such as using CCPA rulemaking to police the enforceability of “Terms and Conditions” and dictate how core product features must be designed. The CCPA was enacted by the California Legislature and later amended by California voters via ballot initiative. The text of the law reflects a clear intent by legislators and Californians alike to legislate specific consumer rights and business obligations tied to the collection, use, disclosure, sale, and sharing of personal information. The Petition’s scope and goals clearly exceed the bounds of the CCPA itself, and any regulations promulgated by the Agency in response to the Petition would risk unintended consequences like increasing consumer device costs, distorting product design and activation practices, and imposing requirements that go well beyond the CCPA’s intended privacy framework.

II. The Petition’s proposed opt-in consent structure for general-purpose consumer devices contravenes the CCPA’s clear opt-out approach.

The Petition’s proposed rulemaking conflicts with the existing opt-out structure the California Legislature adopted under the CCPA. The CCPA expressly provides consumers the right to *opt out* of the sale or sharing of personal information.⁶ Therefore, California’s default rule is not opt-in or nothing, but rather permits routine data processing subject to required consumer notices and an enforceable opt-out right that must be effectuated if a consumer exercises that right. The Petition would seek to rewrite the CCPA with a sweeping opt-in requirement for broad categories of processing, including advertising and marketing uses, whenever a device is activated or used, functionally converting the CCPA’s opt-out approach into a general opt-in regime. The law itself does not support or authorize promulgation of such a rule. The Petition’s proposals therefore extend well above and beyond a plain reading of the law, subverting the intent of the legislature and the people of California. Granting the Petition and engaging in such a rulemaking exercise would conflict with the regulatory authority set forth in the CCPA and create an overly prescriptive framework that contradicts the opt-out structure established under current law.

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⁴ Petition, Sec. I. Executive Summary; Sec. V Proposed Regulatory Framework.

⁵ Cal. Code Regs. tit. 11, § 7013(a), Cal. Civ. Code § 1798.120(a)(1).

⁶ Cal. Civ. Code § 1798.120(a)(1).



The Petition's proposed mandates would not merely clarify or implement the CCPA. New rules contemplated by the Petition would rewrite the statute's core framework by imposing new, default "opt-in" requirements that the California Legislature did not adopt, and California voters did not approve. The Petition asks the Agency to expand CCPA rulemaking well past the law's calibrated approach of providing consumers with notice and opt-out rights. We urge the Agency to decline the Petition and ensure that its rulemaking adheres to the CCPA's text and structure as written, rather than adopting an alternative framework that the statute does not authorize.

Thank you in advance for your consideration of this letter.

Sincerely,

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